

LAW & MOTION CALENDAR
TENTATIVE RULINGS

September 04, 2026

09:00 & 10:00 AM

CX-101

JUDGE WILLIAM D. CLASTER

Department CX101 Phone Number: (657) 622-5301

The Court will hear oral argument on all matters at the time noticed for the hearing. If you would prefer to submit the matter on your papers without oral argument, please advise the clerk by calling (657) 622-5301. The Court will not entertain a request for continuance nor filing of further documents once the ruling has been posted.

APPEARANCES: Appearances, whether remote or in person, must be in compliance with new Code of Civil Procedure §367.75, California Rules of Court, Rule 3.672, and Superior Court of California, County of Orange, Appearance Procedure and Information, Civil Unlimited and Complex, located at https://www.occourts.org/media-relations/covid/Civil_Unlimited_and_Complex_Appearance_Procedure_and_Information.pdf.

COURT REPORTERS: Official court reporters (i.e. court reporters employed by the Court) are **NOT** provided for any matters in this department. If a party desires a record of a law and motion proceeding, it will be the party’s responsibility to provide a court reporter. Parties must comply with the Court’s policy on the use of privately retained court reporters which can be found at:

- [Civil Court Reporter Pooling](#); and
- For additional information, please see the court’s website at [Court Reporter Interpreter Services](#) for additional information regarding the availability of court reporters.
- [Civil Limited, Unlimited and Complex \(Updated June 11, 2020\)](#)

#	CASE NAME	MATTER
1	Calderon vs. Freeman Expositions, LLC 2024-01448303	Plaintiff’s Motion for Approval of Class Settlement The Court has reviewed the supplemental briefing filed in response to the previous minute order. The motion for preliminary approval of class action settlement is GRANTED. The motion for final approval shall be heard on February 5, 2027 at 9:00 a.m. in Department CX101. Moving papers are due 16 court days before the hearing. Please submit a revised proposed order that conforms to the foregoing, includes the date of the final approval hearing, and updates all dates that are calculated in reference to the date preliminary approval is granted.
2	Foss vs. Prenovost, Normandin, Dawe & Rocha, A.P.C. 2025-01488839	Plaintiff’s Motion for Approval of Class Settlement The Court has reviewed the briefing filed in response to the previous minute order. The Court GRANTS the motion for preliminary approval of class action settlement. The motion for final approval shall be heard on February 5, 2027 at 9:00 a.m. in Department CX101. Moving papers are due 16 court days before the hearing. Please submit a revised proposed order that conforms to the foregoing, includes the date of the final approval hearing, and updates all dates that are calculated in reference to the date preliminary approval is granted.

3	Silvestri vs. Upward Projects Holdings, LLC 2024-01380452	Plaintiff’s Motion for Approval of Class Settlement CONTINUED TO 10/23/26 AT 9:00AM IN DEPT CX101
4	Gory vs. Dynamic HR Services LLC 2024-01444604	Plaintiff’s Motion for Approval of Class Settlement Plaintiff’s motion for preliminary approval of class action settlement is CONTINUED to October 30, 2026 at 9:00 a.m. in Department CX101 to permit the parties to respond to the following items of concern. Any supplemental briefing shall be filed on or before October 20, 2026. If a revised settlement agreement and/or class notice is submitted, a redline showing all changes, deletions and additions must be submitted as well. As to the Settlement: 1. Please provide copies of Plaintiff’s pre-filing letter to the LWDA and any amendments thereto. 2. What is the relationship between Dynamic and Streamline? For example, are they two companies under the same overall corporate organization? 3. The GSA is to be paid partially by Dynamic and partially by Streamline. What is the remedy if one of them defaults? Is the other company responsible for the entire GSA? Would the administrator make a partial distribution based on the contribution of the company that paid its share? Etc. 4. Counsel states that Defendants turned over time and pay data for the class. Did Defendants turn over all time and pay data for all class members, or a sample? If a sample, how large (e.g., 10%), and what steps did the parties take to ensure it was representative? 5. Did counsel retain an expert to assist in valuing the case? If so, please provide a CV. 6. Did counsel interview anyone other than Plaintiff to value the non-record claims? 7. Please provide a bid from the settlement administrator. 8. At final approval, please submit contemporaneously made billing records for attorney’s fees and costs. The Court will not be inclined to award an amount of fees and costs greater than the amount stated in the notice. 9. At final approval, please submit billing records for administrative costs. The Court will not be inclined to award administrative costs in an amount greater than the amount stated in the notice. 10. At final approval, Plaintiff is to provide a declaration addressing the enhancement factors set forth in <i>Golba v. Dick’s Sporting Goods, Inc.</i> (2015) 238 Cal.App.4th 1251 and <i>Clark v. Am. Residential Servs. LLC</i> (2009) 175 Cal.App.4th 785, including the amount of time and effort spent on the litigation. 11. At final approval, the administrator is to provide a high, low, and average for individual settlement payments, along with Plaintiff’s individual payout.

		<i>As to the Notice:</i> 1. Please include opt-out and workweek dispute forms with the notice. 2. At page 4, please delete the descriptions of the mediator as “experienced, neutral.” Because the notice is Court-ordered, these descriptions could suggest the Court’s official endorsement. 3. Does notice need to be given in any languages other than English and Spanish? 4. If any changes are made to the settlement agreement, please make corresponding changes to the notice. 5. The font size in the actual notice may not be smaller than the font size in the proposed notice provided to the Court.
5	Dehkordi vs.Modern Creation Inc 2025-01473144	Plaintiff’s Motion for Final Approval CONTINUED TO 12/4/26 AT 9:00 AM IN DEPT CX101
6	Bernard vs. Optima Tax Relief, LLC 2022-01288055	Plaintiff’s Motion for Final Approval Plaintiff’s motion for final approval of the parties’ class action settlement is GRANTED. The Court approves the following distributions: 1. Attorney’s fees in the amount of \$450,000, or 30% of the GSA. The Court finds this amount to be a reasonable result in light of the quality of the result obtained, the work performed by class counsel, a review of the billing records provided, and the estimated lodestar. In approving this amount and examining the billing records provided, the Court is not approving any particular hourly billing rates proposed by class counsel. 2. Litigation costs in the amount of \$29,118, the full amount sought. 3. Administration costs in the amount of \$14,250, per the administrator’s declaration. 4. An enhancement of \$10,000 to Plaintiff. In making this award, the Court has considered only the factors set forth in <i>Golba v. Dick’s Sporting Goods, Inc.</i> (2015) 238 Cal.App.4th 1251 and <i>Clark v. Am. Residential Servs. LLC</i> (2009) 175 Cal.App.4th 785. 5. Payment to the LWDA of \$37,500, per the parties’ PAGA allocation. Pursuant to section 384(b) of the Code of Civil Procedure, Plaintiff shall submit to the Court a final report on or before April 2, 2027 setting forth the actual amounts paid to class members and other amounts disbursed pursuant to the settlement. Upon receiving the report, the Court will determine whether further reports and/or a hearing will be necessary.
7	Delgado vs. Raffa’s Carniceria Panaderia Taqueria 2025-01457454	Plaintiff's Motion for Approval of Paga Settlement Plaintiff’s motion for approval of PAGA settlement is CONTINUED to October 30, 2026 at 9:00 a.m. in Department CX101 to permit the parties to respond to the following items of concern. Any supplemental briefing shall be filed on or before October 20, 2026. If a revised settlement agreement and/or proposed notice is submitted, a redline version showing all changes,

	deletions and additions must be submitted as well. In addition, Plaintiff must provide proof of service of any revised settlement agreement and supplemental papers on the LWDA. <i>As to the Settlement:</i> 1. The complaint names three separate Raffa’s locations as defendants, and the settlement agreement names all three locations as parties. However, the settlement agreement is only signed by one Raffa’s entity. What is the relationship between the locations? Are they a single company, or are they separately organized? If they are separately organized, doesn’t each location need to sign the agreement? 2. How many aggrieved employees are at issue? 3. Please provide a bid from the settlement administrator. 4. Section 4.3.b of the agreement sets the date for Defendants to begin monthly installment payments, but it is internally contradictory. It says the first payment is due “thirty (14) business days” after the Effective Date. Which date is correct? 5. If an installment funding structure is required due to the state of Defendants’ finances, Defendants must file a declaration explaining their finances and why an installment plan is necessary. If they wish the declaration to be confidential, they must follow the Rules of Court regarding sealed filings. 6. Defendant turned over time and pay records for the aggrieved employees. Was this a sampling of records? If so, how large (e.g., 10%), and what steps were taken to ensure the sampling was representative? 7. Did counsel interview any employees other than Plaintiff? 8. Counsel states that the parties mediated in April 2026, and the case settled several months later after “additional informal discovery.” What additional informal discovery took place after the mediation? 9. Counsel’s valuation of the PAGA claim is inadequate for the Court to discharge its approval duties. “[A] trial court should evaluate a PAGA settlement to determine whether it is fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (<i>Moniz v. Adecco USA, Inc.</i> (2021) 72 Cal.App.5th 56, 77.) For each predicate Labor Code violation, please explain the theories of prosecution and defense, the evidence supporting those theories, and the likelihood of success. The Court cannot determine whether the settlement is fair without this information. (See <i>ibid.</i> (citing <i>Kullar v. Foot Locker Retail, Inc.</i> (2008) 168 Cal.App.4th 116 and <i>Dunk v. Ford Motor Co.</i> (1996) 48 Cal.App.4th 1794).) 10. Please provide contemporaneously made billing records for lodestar cross-check purposes. 11. Has Plaintiff separately settled her individual claims? If so, please provide a copy of the settlement agreement. The court requires this information to evaluate the fairness of the PAGA settlement. <i>As to the Notice:</i> 1. The notice should include a description of the claims to be
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		released by the aggrieved employees. 2. The notice should state that the aggrieved employees will not be retaliated against for cashing settlement checks. 3. If any changes are made to the settlement agreement, please make corresponding changes to the notice. 4. The font size in the actual notice may not be smaller than the font size in the proposed notice provided to the Court.
8	Moreno vs. Circle Liquidators, LLC 2025-01519017	Plaintiff's Motion for Separate Proceedings Against Non-Debtor Defendants Plaintiff Samantha Moreno’s unopposed motion to proceed separately against Defendants Ryan C. Maresch and Jose Lim-Valle is GRANTED. However, as set forth below, the Court has serious concerns about how Plaintiff’s class claims can move forward against Maresch and Lim-Valle in the absence of bankrupt Defendant Circle City Liquidators, LLC (“CCL”). Plaintiff should be prepared to address these concerns at the hearing. <u>GROUNDNS FOR RULING</u> I. Background This action is based on class claims for wage-and-hour violations and Plaintiff’s individual wrongful termination claims for complaining about the alleged wage-and-hour violations. Maresch and Lim-Valle are allegedly the owners and managing agents of CCL, the employer defendant. As to the class claims, Plaintiff seeks to hold Maresch and Lim-Valle individually liable under LC § 558.1. As of the date of this hearing, only Lim-Valle has made an appearance. After this case was filed, CCL filed for bankruptcy under Chapter 7 of the Bankruptcy Code. The case is therefore stayed as to CCL. (ROA 53.) II. Discussion “The Court, in furtherance of convenience or to avoid prejudice . . . may order a separate trial of . . . any separate issue.” (CCP § 1048(b).) Plaintiff argues bifurcation of the claims against Maresch and Lim-Valle is appropriate because the bankruptcy stay is inapplicable to LC § 558.1 claims against them. She relies on <i>Boucher v. Shaw</i> (9th Cir. 2009) 572 F.3d 1087. In <i>Boucher</i>, the plaintiffs sued the managers of a bankrupt casino (originally filed under Chapter 11, later converted to Chapter 7) for unpaid wages under Nevada law and the FLSA. The district court dismissed the case, and the plaintiffs appealed. The Ninth Circuit certified to the Nevada Supreme Court the question of whether managers can be held liable for unpaid wage claims as “employers” under Nevada law. The Nevada Supreme Court answered in the negative. As a result, the sole remaining question was whether the managers could be individually liable under the FLSA. The managers didn’t argue they weren’t “employers” under the FLSA. Instead, they argued the casino’s conversion to Chapter 7 bankruptcy extinguished any individual duty they had to pay wages to the plaintiffs. The Ninth Circuit rejected this argument. It explained, “Thus, section 362(a) does not stay actions against guarantors, sureties, corporate affiliates, or other non-debtor parties liable on the debts of the debtor.” (<i>Id.</i>, at p. 1092 (internal quotation omitted).) “[O]ur case law regarding guarantors, sureties and other non-debtor parties who are liable for the debts of the debtor leaves no doubt about the answer: the [casino] bankruptcy has no effect on the claims against the individual managers at issue here.” (<i>Id.</i>, at p. 1093.)

		Here, LC § 558.1 provides that certain persons “may be held liable as the employer for” specified wage-and-hour violations. Maresch and Lim-Valle may be treated as employers for purposes of some of Plaintiff’s claims. Under <i>Boucher</i>, CCL’s bankruptcy has no effect on claims against Maresch and Lim-Valle in their capacity as employers under LC § 558.1. The motion is therefore granted. However, the Court has serious reservations about future proceedings. Plaintiff can likely prove Maresch and Lim-Valle’s managerial and ownership roles without implicating any bankruptcy issues. But how does Plaintiff intend to prove the class wage-and-hour claims? Under LC § 558.1, Maresch and Lim-Valle are only liable to the class if the class suffered wage-and-hour violations. For example, because of the automatic stay, Plaintiff can’t propound a request for production seeking all time and pay records for the class, because those are the property of the bankruptcy trustee. Moreover, there are concerns about conflicting judgments. Again, Maresch and Lim-Valle are only liable to the class to the extent wage-and-hour violations occurred. Because CCL is in bankruptcy, any judgment in favor of the class or even the individual plaintiff can’t bind CCL. As a result, to the extent the class’s claims against CCL survive bankruptcy, it’s possible the trier of fact could find Maresch and Lim-Valle are liable for wage-and-hour violations, but a subsequent trier of fact could find CCL not liable because no such violations occurred. Such a result would be absurd and should be avoided.
9	R.V. vs. The Regents of the University of California 2025-01493422	Defendant’s Demurrer to Complaint The Regents of the University of California (“University”) demur to the negligence claims in the operative complaints of plaintiffs Jane Doe R.V. and Jane Doe M.M., which are consolidated for pretrial purposes. As to R.V., the demurrer is OVERRULED AS MOOT because R.V. has dismissed her claims against the University with prejudice. (ROA 145.) As to M.M., the demurrer to the First Amended Complaint (FAC) is SUSTAINED WITHOUT LEAVE TO AMEND. <u>GROUND FOR RULING</u> Initially, the Court notes that M.M. contests only one of the several arguments raised by the University in its demurrer: she contends she has adequately alleged the University’s notice of Hoefs’ misconduct. The Court accordingly treats the University’s other arguments as conceded. As to notice, M.M. alleges that she treated with Hoefs at UCI Medical Center from 1998 to 2001. She stopped treatment at that time “following a significant improvement in her medical condition.” (<i>M.M.</i> FAC, ¶ 31.) M.M. also alleges that complaints about Hoefs’ behavior were lodged “as early as 2016.” (<i>M.M.</i> FAC, ¶ 41.) Complaints made in 2016 cannot possibly have put the University on notice of Hoefs’ conduct when M.M. treated at the University from 1998 to 2001. In opposition, M.M. contends the reference to 2016 was merely illustrative, not the earliest possible date of notice. This argument ignores the language of the pleading, which says complaints were lodged “as early as 2016.” The balance of M.M.’s opposition is directed at the University’s conduct surrounding a potential Second Amended Complaint. This argument is irrelevant to whether the FAC is subject to demurrer. Either M.M. has stated facts sufficient to constitute a cause of action, or she has not. For these reasons, the demurrer is sustained. Given Plaintiff’s admissions as to the dates of treatment at the University and when the University arguably was on notice of Hoefs’ misconduct, the Court does not see how the claims against the University can survive. Indeed, Plaintiff’s proposed Second Amended Complaint does not include any amended allegations that will cure

		the notice deficiency. (Plaintiff’s Opp., Exh. E) Accordingly, the Court’s strong inclination is to deny leave to amend.
10	Roe 26 A.B. vs. Anaheim Union High School District 2025-01503960	Gizem Gures’s Motion to Be Relieved as Counsel of Record Motion to Be Relieved as Counsel of Record Slater, Slater & Schulman LLP moves to be relieved as counsel for Plaintiffs Jane Roe 27 M.M. and Jane Roe 33 B.G. The motion is GRANTED. Counsel has met the requirements of CCP § 284 and CRC 3.1362. The two orders will be effective upon the filing of proof of service on the clients.
11	Asset Management Consultants, Inc. vs. Catlin Specialty Insurance Company 2015-00824125	Defendant’s Demurrer to Complaint Defendant’s Motion to Strike Complaint <u>CATLIN SPECIALTY INSURANCE’S DEMURRER TO THE SECOND AMENDED COMPLAINT (2AC)</u> Catlin’s demurrer to the Basso Plaintiffs’ sixth cause of action (fraud) in the 2AC is SUSTAINED WITHOUT LEAVE TO AMEND. The gist of the sixth cause of action is that Catlin (and insurance broker Brown and Riding Insurance Services, Inc.) fraudulently concealed the fact that, contrary to Plaintiffs’ instructions, the insurance policy at issue included a self-insured retention of \$150,000 and excluded SLB from coverage. The Court previously sustained Catlin’s demurrer to this claim. In the First Amended Complaint, the Basso Plaintiffs pled they received letters in July and November 2013 informing them of the SIR and the exclusion of SLB. The FAC was filed in July 2018, more than three years later, and the fraud claim did not relate back to the original complaint. As a result, it was untimely. The Basso Plaintiffs were granted leave to amend. The Basso Plaintiffs now argue the delayed discovery rule should toll accrual of the fraud claim. In the 2AC, the Basso Plaintiffs continue to admit that they received letters about the SIR and the exclusion of SLB in July and November 2013. However, they allege that they understood these letters to be mistakes or errors. With respect to the July 2013 letter, they allege: “Because the Policy did not actually reference any such retention and Plaintiffs had not been provided with any endorsement or other information suggesting that there was, in fact, a retention, this comment by Linville appeared to be a simple mistake and did not, in any way, suggest that Catlin and Brown were attempting to secretly modify the policy to add in a retention without the knowledge of Plaintiffs. Plaintiffs did not first learn of this was not merely a typographical error but was, in fact, part of a scheme to create the illusion of a retention that did not actually exist until it was disclosed in discovery in this litigation less than three years before first alleging this cause of action.” (2AC ¶ 332.) Similarly, with respect to the November 2013 letter, they allege: “In fact, because Plaintiffs understood that SLB was a named insured under the Policy at the time they paid their premium, they knew that the endorsement [deleting SLB] was an error and had not be[en] agreed to by the parties. Because they were unaware of the secret discussions between Brown and Catlin, they were unaware that this purported endorsement was actually a part of a long-standing fraud until those discussions were disclosed in discovery in this litigation less than three years before first alleging this cause of action.” (2AC ¶ 355.) “An important exception to the general rule of accrual is the ‘discovery rule,’ which postpones accrual of a cause of action until the plaintiff discovers, or has reason to discover, the cause of action.” (<i>Fox v. Ethicon Endo-Surgery, Inc.</i> (2005) 35 Cal.4th 797, 807.) “The discovery rule only delays accrual until the plaintiff has, or should have, inquiry notice of the cause of action. . . . In other words, plaintiffs are required to conduct a reasonable investigation after becoming aware of an injury, and are charged with knowledge of the

	information that would have been revealed by such an investigation.” (<i>Id.</i>, at pp. 807-808.) “In order to rely on the discovery rule for delayed accrual of a cause of action, ‘[a] plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery <i>and</i> (2) the inability to have made earlier discovery despite reasonable diligence.’ In assessing the sufficiency of the allegations of delayed discovery, the court places the burden on the plaintiff to ‘show diligence’; ‘conclusory allegations will not withstand demurrer.’” (<i>Id.</i>, at p. 808.) The allegations of the 2AC do not meet this standard. The admitted content of the July and November 2013 letters, on its face, was enough to put the Basso Plaintiffs on inquiry notice that they were subject to an SIR and that SLB was no longer covered. At that point, the Basso Plaintiffs were required to conduct a reasonable investigation. For example, they could have called their broker to ask why the letters didn’t match what they understood the policy to say. But the 2AC contains no allegations of any investigation or diligence after receipt of the letters. Rather, the Basso Plaintiffs plead that because they subjectively understood the letters to be a mistake, they had no need to further inquire. This is not the law. <i>Fox</i> requires a plaintiff invoking the discovery rule to plead <i>reasonable</i> diligence, not diligence based on the plaintiff’s subjective understanding of the facts. The demurrer is therefore sustained. Because the Basso Plaintiffs have had multiple chances to plead the fraud claim’s timeliness, and because the Basso Plaintiffs propose no curative amendments in their opposition, leave to amend is denied. The Court does not reach Catlin’s alternative arguments in support of the demurrer. <u>CATLIN’S MOTION TO STRIKE PORTIONS OF 2AC</u> Catlin’s motion to strike portions of the 2AC is GRANTED IN PART AND DENIED IN PART. Specifically, the motion is GRANTED WITHOUT LEAVE TO AMEND as to items 1, 2, 3, and 5 in the notice of motion (erroneously misnumbered 6) and DENIED as to item 4. I. <u>Standard of Review</u> A court may strike “any irrelevant, false, or improper matter inserted in any pleading.” (CCP § 436(a).) A court may also strike “all or part of any pleading not drawn or filed in conformity with the laws of this state.” (<i>Id.</i>, § 436(b).) II. <u>Wrongful Acts Exclusion</u> Items 1, 3, and 5 in the notice of motion pertain to the so-called “Wrongful Acts Exclusion” in the operative insurance policy. Catlin seeks to strike all of count two of the fifth cause of action (seeking reformation to eliminate the Wrongful Acts Exclusion), other allegations that the Wrongful Acts Exclusion is not part of the policy or should be removed, and the prayer for reformation of the policy to eliminate the Wrongful Acts Exclusion. The Court previously struck allegations relating to the Wrongful Acts Exclusion on the grounds that they were untimely under the three-year limitations period for actions sounding in fraud. As in the FAC, Plaintiffs admit the Wrongful Acts Exclusion was contained in the policy as issued in October 2012 and was sent to them by email in November 2012. (2AC ¶¶ 31, 266, 316.) This was sufficient to put them on inquiry notice, because insureds have a duty to read their policy documents. (See <i>Aetna Casuatly & Surety Co. v. Richmond</i> (1977) 76 Cal.App.3d 645, 652 (“It is a general rule that the receipt of a policy and its acceptance by the insured without an objection binds the insured as well as the insurer and he cannot thereafter complain that he did not read it or know its terms. It is a duty of the insured to read his policy.”).) As a result, they had to file any action for reformation of the policy based on fraud by November 2015. They first sought reformation of the
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	Wrongful Acts Exclusion in the FAC, filed in July 2018. The allegations are therefore untimely. Citing <i>Raulet v. Northwestern Nat. Ins. Co. of Milwaukee</i> (1910) 157 Cal. 213 and <i>Clement v. Smith</i> (1993) 16 Cal.App.4th 39, Plaintiffs argue the rule that persons are presumed to be familiar with the terms of contracts to which they are party is inapplicable in the insurance context. Both cases are inapposite. <i>Raulet</i> is based on the principle that the ordinary insured is unsophisticated and lacks the knowledge necessary to understand the ins and outs of a policy drafted by company experts. (See <i>Raulet</i>, 157 Cal. at p. 230.) Here, Plaintiffs were sophisticated participants in a series of complex commercial real estate investments. (2AC ¶¶ 14-15.) And while <i>Clement</i> holds that an insured may reasonably rely on an insurance agent’s representation of coverage as opposed to the terms of the underlying policy, that case was about the agent’s liability for misrepresentation. It was not a coverage dispute. (See <i>Clement</i>, 16 Cal.App.4th at p. 45.) Accordingly, the allegations relating to the Wrongful Acts Exclusion are struck as untimely. III. <u>Oral Contract</u> Item 2 in the notice of motion pertains to an alleged oral contract between individual Plaintiffs and Catlin regarding the insurance policy. In the FAC, each of paragraphs 196, 197, and 199 said, “[Plaintiff] and Catlin are parties to a valid contract, a portion of which is written (Exhibit 1) and a portion of which is oral (to the extent agreed terms are not included in Exhibit 1).” The Court granted Catlin’s motion to strike the references to an oral contract from the FAC, explaining: “As to the oral contract allegations in Paragraphs 196, 197 and 199, Catlin Specialty’s grounds for the motion to strike is the claim is barred by the two-year statute of limitations based on (1) the statute of limitations for breach of an oral contract is two years, and (2) the lawsuit was originally filed more than two years after the denial of coverage. Given this timing, the relation back doctrine—which causes an amended pleading to relate back to the date the original pleading was filed—would not seem to apply.” (ROA 469 at p. 3.) In the 2AC, Plaintiffs make a single, identical change to all three paragraphs by adding the following language: “To the extent the language in Exhibit 1 is inconsistent with the earlier oral agreement, that written language is not, in fact, a part of the contract. For example, the Wrongful Acts Exclusion was never presented to Plaintiffs before they paid their premium and formed the contract. Accordingly, the Wrongful Acts Exclusion is not part of the contract.” Plaintiffs’ opposition discusses the oral contract allegations at page 9. The opposition does not appear to explain how the additional language quoted above affects the relation back analysis. Accordingly, the Court finds Plaintiffs have not adequately pled relation back. To the extent Plaintiffs simply repeat arguments raised in their opposition to the first motion to strike, the Court refers to its prior ruling. The allegations relating to the oral contract are struck as untimely. IV. <u>Amendments Outside the Scope of the Prior Order</u> Finally, item 4 in the notice of motion pertains to numerous allegations that Catlin contends are outside the scope of permitted amendment. The Court’s prior order permitted amendment “as to Count Two of Plaintiffs’ Fifth Cause of Action for Reformation based on fraud arising from Catlin Specialty’s inclusion in the insurance policy of the Wrongful Acts Exclusion, and as to the allegations in Paragraphs 196, 197 and 199 regarding an oral contract.” (ROA 469 at p. 3.) Catlin appears to believe that because numerous amendments were made outside the charging allegations for Count Two, and outside paragraphs 196, 197, and 199, they are per se improper. The Court disagrees. The allegations at issue go to Plaintiffs’ contention that their claims are timely. Wherever in the 2AC they are found, they are within the
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		scope of permitted amendment. The motion is denied as to these allegations. V. <u>Leave to Amend</u> Plaintiffs have had multiple opportunities to plead viable allegations and have not done so. In addition, they propose no curative amendments in their opposition. Leave to amend is therefore denied.
10:00 AM		
12	Albert vs. Tyler Technologies, Inc. 2025-01462434	Demurrer to Amended Complaint Demurrer to Amended Complaint Motion to Appear Pro Hac Vice Motion to Strike- Anit SLAPP Before the Court are four motions: 1. Defendants State Bar of California (including the Board Members of the State Bar of California), Brandon Stallings, Leah Wilson, George Cardona, Donna Hershkowitz, Suzanne Grandt, Cindy Chan, Benson Hom, Sunly Yap, and Sherell McFarlane’s (collectively, “State Bar Defendants”) demurrer to the second amended complaint (“2AC”) of Plaintiffs Lenore Albert, Chad Pratt, Theresa Marasco, Larry Tran, Ryan McMahon, James Ocon, and Leslie Westmoreland. 2. Defendant Tyler Technologies, Inc.’s (“Tyler”) demurrer to Plaintiffs’ 2AC. 3. The State Bar Defendants’ motion to strike Plaintiffs’ 2AC and portions thereof, pursuant to both CCP § 425.16 and CCP § 436. 4. Beth Petronio’s application for admission pro hac vice. The Court rules on each motion as set forth below. The State Bar Defendants and Plaintiffs have filed requests for judicial notice. Tyler has filed a supporting declaration from its counsel, Zachary Timm, that the Court will construe as a request for judicial notice. Plaintiffs have objected to the State Bar Defendants’ and Tyler’s requests for judicial notice. To the extent the Court discusses Plaintiffs’ evidentiary objections in the below rulings, those objections are sustained or overruled accordingly. The Court declines to rule on any objections not discussed on the grounds that the evidence objected to is immaterial to the Court’s rulings. Similarly, to the extent the Court discusses material in the requests for judicial notice below, the requests are granted (at least as to the existence of the documents and their contents, but not for the truth of any matter asserted therein). The Court declines to take notice of any material not discussed on the grounds that it is immaterial to the Court’s rulings. Finally, Plaintiffs’ multiple requests for the Court to consider late-acquired evidence are denied. <u>GENERAL BACKGROUND</u> Before addressing the details of the 2AC as pertinent to each motion, the Court offers the following general summary of Plaintiffs’ allegations. I. <u>Parties</u> This lawsuit is brought by seven plaintiffs proceeding in propria persona: Lenore Albert, Leslie Westmoreland, James Ocon, Ryan McMahon, Chad Pratt, Larry Tran, and Theresa Marasco. Albert, Westmoreland, and Pratt are attorneys who were disbarred by the California Supreme Court. (2AC ¶¶ 27-34, 204-08.) Ocon, Marasco, Tran, and McMahon are non-attorneys who had

	some prior relationship with Albert. (<i>Id.</i> ¶¶ 169-79, 181-82, 185-88, 191-95.) The State Bar Defendants include the State Bar, its attorneys, and officials. Cardona is Chief Trial Counsel, Chan is a hearing officer, Hom is an investigator, Wilson is the former Executive Director, Hershkowitz is the former Interim Executive Director, Grandt is an attorney in the Office of General Counsel, Stallings is a member of the Board of Trustees, and Yap and McFarlane are former employees. (<i>Id.</i> ¶¶ 10-16, 18.) Tyler provided technology services to the State Bar. (<i>Id.</i> ¶ 17.) II. <u>Disciplinary Allegations</u> Albert broadly alleges that her disbarment by the California Supreme Court and the preceding disciplinary investigations were retaliation for her prior lawsuits against the State Bar. (<i>Id.</i> ¶¶ 27-32.) Ocon alleges that the State Bar’s disciplinary proceedings against Albert distracted her from working on his technology tour. (<i>Id.</i> ¶¶ 191-95.) Marasco, Tran, and McMahon allege that Albert represented them in pending litigation when Albert was disbarred. (<i>Id.</i> ¶¶ 169-79, 181-82, 185-88.) Westmoreland hired Albert as an attorney when her license was suspended, which resulted in Westmoreland’s disbarment. (<i>Id.</i> ¶¶ 204-08.) Pratt employed Albert to represent him in a lawsuit related to a data breach involving State Bar disciplinary records and has been disbarred. (<i>Id.</i> ¶¶ 7, 164-65.) III. <u>Data Breach Allegations</u> In December 2016, Tyler entered a contract to provide software for the State Bar’s case management system, which stored confidential attorney disciplinary records. (<i>Id.</i> ¶ 98.) In May 2021, Tyler licensed to the State Bar a public-facing module referred to as the “Odyssey Portal.” (<i>Id.</i> ¶ 100.) In February 2022, the State Bar discovered that approximately 322,525 confidential State Bar disciplinary records identifying approximately 191,000 attorneys had been made available online via JudyRecords.com and indexed by Google. (<i>Id.</i> ¶ 71.) As a result, confidential records about State Bar investigations of Albert and Westmoreland were posted on the Internet. (<i>Id.</i> ¶¶ 71-72.) On March 18, 2022, Albert, acting as counsel, filed <i>Roe v. State Bar of California</i>, OCSC No. 22-01250695, a putative class action asserting claims based on the data breach. (2AC ¶ 50.) IV. <u>Causes of Action</u> Plaintiffs’ 2AC contains seven causes of action: (1) Liability under Government Code § 815.6; (2) Negligence; (3) Fraudulent Deceit; (4) Unfair Competition; (5) First Amendment; (6) Fourteenth Amendment; and (7) California Constitutional Claims. The 1st, 2^d, 5th, 6th and 7th claims are brought against the State Bar Defendants. The 2^d, 3^d and 4th causes of action are brought against Tyler. V. <u>Procedural History</u> This case was originally filed in February 2025 and assigned to CX101. The original complaint contained 15 causes of action. It was reassigned to Judge Sherman in CX105, who at the time was presiding over the related <i>Roe v. State Bar</i> matter mentioned above. The plaintiffs then filed a First Amended Complaint (FAC). The State Bar removed the case to federal court on federal question grounds. The Defendants’ motions to dismiss the FAC were granted with leave to amend. The dismissal ruling of the Magistrate Judge is reported at 2025 WL 2020063. Although that order is not binding in this proceeding, the Court adopts much of its well-reasoned ruling. Rather than repeating in full that reasoning below, the Court cites the portions of the federal court’s order that apply equally here.
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	Eventually, the 2AC became the operative pleading. The State Bar Defendants moved to dismiss under FRCP 12(b)(6) and filed an anti-SLAPP motion. Tyler moved to dismiss under FRCP 12(b)(6). Magistrate Judge McCormick recommended the fifth through seventh causes of action be dismissed without leave to amend on <i>Rooker-Feldman</i>, res judicata, and quasi-judicial immunity grounds, finding these causes of action were simply an attempt to appeal Albert’s disbarment. He recommended the court decline to exercise jurisdiction over the remaining state law claims. As a result, he didn’t consider the remainder of the State Bar Defendants’ motion to dismiss, Tyler’s motion to dismiss, and the State Bar Defendants’ anti-SLAPP motion. (State Bar RJN, Ex. 43.) Judge Staton adopted the foregoing Report and Recommendation in part and rejected it in part. She agreed the <i>Rooker-Feldman</i> doctrine deprived the federal court of jurisdiction to hear the fifth through seventh causes of action. However, she concluded that the lack of jurisdiction meant she couldn’t rule on the merits of the res judicata and quasi-judicial immunity defenses. Accordingly, she remanded them for further consideration without reaching the merits. She agreed with the recommendation not to exercise supplemental jurisdiction over the first through fourth causes of action. She also expressly declined to reach the merits of the State Bar Defendants’ anti-SLAPP motion and Tyler’s motion to dismiss. (State Bar RJN, Ex. 45.) <u>STATE BAR DEFENDANTS’ DEMURRER TO 2AC</u> The State Bar Defendants’ demurrer to the 2AC is SUSTAINED. I. <u>Global Arguments</u> The State Bar Defendants make several arguments that go to multiple causes of action. The Court addresses them first. A. <u>Exclusive Jurisdiction Over Disciplinary Matters</u> “[T]he power to discipline licensed attorneys in this state is an expressly reserved, primary, and inherent power of [the California Supreme C]ourt.” (<i>O'Brien v. Jones</i> (2000) 23 Cal.4th 40, 48.) “[I]n 1951, the State Bar Act was amended to exclude superior courts and appellate courts from exercising such jurisdiction, leaving the Supreme Court as the sole judicial entity with jurisdiction over attorney discipline. . . . That power is exclusively held by the Supreme Court and the State Bar, acting as its administrative arm.” (<i>Sheller v. Superior Court</i> (2008) 158 Cal.App.4th 1697, 1710; see also <i>Jacobs v. State Bar</i> (1977) 20 Cal. 3d 191, 203.) Plaintiffs allege repeatedly and at length that the State Bar and its officers or employees acted improperly in investigating and prosecuting disciplinary proceedings against Albert, Westmoreland and Pratt. Plaintiffs expressly demand that Albert, Westmoreland, and Pratt’s licenses to practice law be reinstated. (2AC ¶¶ 255-256.) Insofar as Plaintiffs’ claims are based on investigations and disciplinary actions taken against Albert, Westmoreland, and Pratt, those claims are within the exclusive jurisdiction of the California Supreme Court, and the demurrer is sustained. Nor is this holding limited to Albert, Westmoreland, and Pratt’s personal claims. As the federal magistrate recognized when ruling on the State Bar Defendants’ motion to dismiss Plaintiffs’ FAC, the remaining Plaintiffs’ claims are “inextricably intertwined” with the attempt to re-litigate the disbarments, particularly Albert’s. (<i>Albert v. Tyler Technologies, Inc.</i> (C.D.Cal. 2025) 2025 WL 2020063, at *5 (“[T]he other claims succeed only to the extent that this Court finds that the state court wrongly decided the issues before it.”).) As noted above, the Plaintiffs other than Albert claim damages flowing from disciplinary actions against Albert. Ocon, for example, alleges that disciplinary proceedings distracted Albert from working on his technology tour, causing him damages. Similarly, Marasco, Tran, and McMahon claim to have been damaged because Albert was disbarred while
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	she represented them. Accordingly, the demurrer is sustained as to all claims by all Plaintiffs insofar as they are based on attorney discipline. Specifically, the demurrer is sustained as to count 1 of the first cause of action, count 1 of the second cause of action, and all counts of the fifth through seventh causes of action. B. <u>Absolute Immunity</u> The individual State Bar Defendants claim absolute quasi-judicial immunity from damages for their actions. The Court finds they are entitled to claim such immunity. Under California law, “the State Bar and the Committee of Bar Examiners, as arms of the Supreme Court, and their officials, as officers of the Supreme Court, have been afforded quasi-judicial immunity from civil suits for acts performed in the exercise of their duties.” (<i>Howard v. Drapkin</i> (1990) 222 Cal.App.3d 843, 853.) Similarly, under federal law, State Bar staff “have quasi-judicial immunity from monetary damages. Administrative law judges and agency prosecuting attorneys are entitled to quasi-judicial immunity so long as they perform functions similar to judges and prosecutors in a setting like that of a court.” (<i>Hirsh v. Justices of Supreme Court of State of Cal.</i> (1995) 67 F.3d 708, 715.) Under both California and federal law, “judicial immunity is not overcome by allegations of bad faith or malice.” (<i>Mireles v. Waco</i> (1991) 502 U.S. 9, 11; see also <i>Rosenthal v. Vogt</i> (1991) 229 Cal.App.3d 69, 76 (immunity of State Bar officials “extends to all judicial acts, however motivated and however intrinsically erroneous”).) Finally, “bar associations and their officials charged with the duties of investigating, drawing up, and presenting cases involving attorney discipline have historically enjoyed absolute immunity from damage claims for such functions.” (<i>Greene v. Zank</i> (1984) 158 Cal.App.3d 497, 508 (emphasis omitted).) The fifth, sixth, and seventh causes of action—the remaining claims against the individual State Bar Defendants—are all based on the individual State Bar Defendants’ investigation, institution, and prosecution of disciplinary actions against Albert, Westmoreland, and Pratt. Indeed, as the Ninth Circuit Bankruptcy Appellate Panel has already held with respect to Albert’s disciplinary proceedings, “These are prototypical quasi-judicial activities that are protected by such immunity.” (<i>In re Albert-Sheridan</i> (9th Cir. B.A.P. 2024) 658 B.R. 516, 546.) Nor does it matter that the remaining Plaintiffs aren’t themselves attorneys facing discipline. As the federal court magistrate recognized in recommending dismissal of Plaintiffs’ FAC, “their claims against the State Bar Employees—all of which originate out of Albert’s disbarment—follow from State Bar Defendants’ actions to prosecute and investigate Albert, actions for which Defendants receive absolute immunity from damage claims.” (<i>Albert, supra</i>, 2025 WL 2020063, at *7.) Accordingly, the demurrer to the fifth through seventh causes of action is sustained as to the individual State Bar Defendants. C. <u>Res Judicata</u> The State Bar Defendants also contend that Albert, Westmoreland, and Pratt’s discipline-related claims are barred by the doctrine of res judicata. The Court agrees these claims are barred for the reasons stated in the federal court’s ruling on the State Bar Defendants’ motion to dismiss the FAC. (<i>Albert, supra</i>, 2025 WL 2020063, at *7-*8.) The Court adopts the federal court’s analysis and incorporates it by reference. In addition, the Court agrees with the federal court that Albert and Westmoreland’s data breach-related claims are not barred by res judicata. (The 2AC expressly excludes any data breach-related claims Pratt might bring.) As the parties are aware from the docket in the <i>Roe</i> matter (No. 22-01250695), of which the Court takes judicial notice, the class claims in <i>Roe</i>
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	were struck by Judge Sherman in February 2025. (<i>Roe</i> ROA 365.) As a result, only the named plaintiffs in <i>Roe</i> were parties to the case. Neither Albert nor Westmoreland is named as a party in the <i>Roe</i> case, so its dismissal last winter cannot bind them. D. <u>Remaining Global Arguments</u> The Court finds it unnecessary to address the remaining global arguments in order to resolve the demurrer. II. <u>Claim-Specific Arguments</u> A. <u>Gov. Code § 815.6 (1st COA)</u> 1. <u>Mandatory Duties</u> “Except as otherwise provided by statute, [a] public entity is not liable for an injury, whether such injury arises out of an act or omission of the public entity or a public employee or any other person.” (Gov. Code § 815(a).) Gov. Code § 815.6 provides such an exception: “Where a public entity is under a mandatory duty imposed by an enactment that is designed to protect against the risk of a particular kind of injury, the public entity is liable for an injury of that kind proximately caused by its failure to discharge the duty unless the public entity establishes that it exercised reasonable diligence to discharge the duty.” Plaintiffs identify four enactments that they contend impose mandatory duties. First, Bus. & Prof. Code § 6001.1 provides: “Protection of the public, which includes support for greater access to, and inclusion in, the legal system, shall be the highest priority for the State Bar of California and the board of trustees in exercising their licensing, regulatory, and disciplinary functions. Whenever the protection of the public is inconsistent with other interests sought to be promoted, the protection of the public shall be paramount.” As the federal court previously (and correctly) held, “This provision does not set forth guidelines or rules for a public entity to follow in implementing an affirmative duty.” (<i>Albert, supra</i>, 2025 WL 2020063, at *8.) Second, Bus. & Prof. Code § 6007(c)(4) provides: “The State Bar Court shall order the involuntary inactive enrollment of an attorney upon the filing of a recommendation of disbarment after hearing or default. For purposes of this section, that attorney shall be placed on involuntary inactive enrollment regardless of the license status of the attorney at the time.” This statute imposes a mandatory duty to put attorneys on involuntary inactive status when they are formally recommended for disbarment. Confusingly, Plaintiffs contend the State Bar breached this duty by <i>complying</i> with it: they allege the State Bar suspended Albert, but the suspension was improper “because no harm to the public or clients was found.” (2AC ¶ 58.) In support of this argument, Plaintiffs cite <i>Conway v. State Bar</i> (1989) 47 Cal.3d 1107, which explains: “Under subdivision (c), however, the attorney must be found to have already caused, or be causing, substantial harm, and there must be a reasonable threat such harm will recur or continue.” Absent a showing of such harm, they argue, Albert’s suspension was improper. But as the State Bar Defendants point out in reply, <i>Conway</i> concerned an older version of the statute. The current statutory language says nothing about a showing of substantial harm. Plaintiffs have not alleged a violation of § 6007(c)(4). Third, Bus. & Prof. Code § 6086.1(b) requires that the State Bar keep disciplinary investigations confidential “until the time that formal charges are filed.” Albert and Westmoreland argue the data breach constitutes a breach of this duty of confidentiality. This argument ignores the timing requirement of the statute. The data breach allegedly took place on or about October 15, 2021, with formal notice of the breach provided in May 2022. (2AC ¶¶ 71-73.) Albert had already been the subject of three formal disciplinary charges by October 2021, filed in December 2015, September 2016, and May 2018. (State Bar RJN, Ex. 3, at pp. 3-4.) Per the 2AC (¶ 53, at p. 24 (table)), the State Bar filed formal charges against Westmoreland in 2019. The State Bar’s duty
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	is to keep disciplinary investigations confidential <i>until formal charges are filed</i>. Albert and Westmoreland were formally charged before the data breach occurred. Based on the allegations of the complaint and on judicially noticeable documents, there has been no breach of this duty. Fourth, State Bar Rule of Procedure 2301 provides that “the files and records of the Office of Chief Trial Counsel are confidential,” and Rule 2302, entitled “Disclosure of Information,” provides that information concerning inquiries, complaints, or investigations is confidential, and sets forth how confidentiality may be waived and documents disclosed. As explained by the magistrate judge, “The rule provides the Chief Trial Counsel and other State Bar officials with considerable discretion and thus does not create a mandatory duty.” (<i>Albert, supra</i>, 2025 WL 2020063, at *9.) 2. <u>Limitations and Claim Presentment</u> Albert knew of the data breach no later than March 14, 2022, when she filed Government Claims Act forms that preceded the <i>Roe v. State Bar</i> case. (State Bar RJN, Ex. 36.) As a result, she was required to bring her data breach claims, at the latest, within two years of their accrual. (Gov. Code § 945.6(a)(2).) This case was filed nearly three years later, in February 2025. Albert’s data breach-related claims are therefore untimely. Plaintiffs vaguely refer to “some claims” that were tolled by Albert’s bankruptcy and “other claims” that are subject to delayed discovery, but they never connect her bankruptcy or the delayed discovery rule to specific claims, nor do they discuss how long the claims were tolled. Accordingly, the Court finds Albert’s data breach claims are untimely. Westmoreland is another matter. The State Bar Defendants’ argument that he failed to comply with claim presentation requirements is incorrect. The data breach claim forms identify the named claimants “on his [or her] behalf and all others.” For purposes of the Government Claims Act, the claimant is “the class itself,” and “an individual claim need not be filed for each member of the purported class.” (<i>County of Los Angeles v. Superior Court</i> (2008) 159 Cal.App.4th 353, 367.) While Westmoreland wasn’t named in the forms, he was part of the purported class. Moreover, because he was an absent member of the purported class until the class claims were dismissed in February 2025, his individual data breach claims are covered by <i>American Pipe</i> tolling. (See <i>American Pipe & Construction Co. v. Utah</i> (1974) 414 U.S. 538; <i>Jolly v. Eli Lilly & Co.</i> (1988) 44 Cal.3d 1103.) As a result, his data breach claims are timely. B. <u>Common Law Negligence (2nd COA)</u> The State Bar is a public entity. As such, it cannot be liable for common law negligence. (No individual State Bar Defendants are named in the second cause of action.) The State Bar’s demurrer to the second cause of action is therefore sustained. To the extent Plaintiffs argue the second cause of action relies on the same mandatory duties as the first cause of action, the Court refers to the discussion above. C. <u>Constitutional Claims (5th-7th COAs)</u> In light of the Court’s conclusion on absolute immunity, the Court does not reach the State Bar Defendants’ individualized arguments about the constitutional claims. III. <u>Conclusion</u> The State Bar Defendants’ demurrer is sustained in its entirety. The Court will address leave to amend below. <u>TYLER’S DEMURRER TO 2AC</u> Tyler’s demurrer to the 2AC is SUSTAINED IN PART AND OVERRULED IN PART.
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	I. <u>Common-Law Negligence (2nd COA)</u> A. <u>Albert</u> As to Albert, her negligence claim is untimely. The statute of limitations for negligence claims is two years. (CCP §§ 335.1, 339.) Again, Albert knew of the data breach no later than March 14, 2022, when she filed classwide data breach claim forms. This case wasn’t filed until February 2025. Even giving Plaintiffs the benefit of the doubt that this case relates back to a matter filed in September 2024, Albert’s claim against Tyler was filed six months too late. To get around this, Plaintiffs allege “the statute of limitations was tolled while [Albert] served as class counsel” in <i>Roe v. State Bar</i>. (2AC ¶ 93.) But as Tyler points out in its papers, <i>American Pipe</i> tolling is inapplicable to Albert. Under <i>American Pipe</i>, “the commencement of a class action suspends the applicable statute of limitations as to all asserted members of the class who would have been parties had the suit been permitted to continue as a class action.” (<i>American Pipe, supra</i>, 414 U.S. at p. 554.) As class counsel, Albert could not have been a member of the class. (See <i>Apple Computer, Inc. v. Superior Court</i> (2005) 126 Cal.App.4th 1253, 1264.) Indeed, the pleadings in <i>Roe</i> expressly excluded class counsel from the definition of the class. (Timm Decl. Ex. M, at ¶ 144.) In opposition, Plaintiffs argue Albert is entitled to claim equitable tolling rather than <i>American Pipe</i> tolling, because her duty of loyalty to the putative class prevented her from timely bringing her own claim. They cite <i>Apple Computer, supra</i>, for the proposition that Albert’s duty of loyalty prevented her from bringing a separate individual claim. The federal court correctly rejected this argument in granting Tyler’s motion to dismiss the FAC: “Nothing in <i>Apple Computer</i>, however, suggests that Albert could not have . . . pursued an individual claim against Tyler.” (<i>Albert, supra</i>, 2025 WL 2020063, at *11.) B. <u>Westmoreland</u> Timeliness is not an issue for Westmoreland. Tyler nevertheless argues Plaintiffs fail to plead duty and damages. The Court disagrees. The duty allegations were previously found sufficient by the federal court in its ruling on Tyler’s motion to dismiss the FAC. (<i>Albert, supra</i>, 2025 WL 2020063, at *12.) If they satisfied the more demanding federal pleading standard, they satisfy California’s pleading standard. The damages allegations also suffice. Tyler cites a handful of federal cases finding damages allegations insufficient, but the federal pleading standard is higher than California’s. In state court, a plaintiff must plead nothing more than ultimate facts. Evidentiary facts can be learned in discovery. Tyler also cites <i>Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison</i> (1998) 18 Cal.4th 739 for the proposition that “nominal damages, speculative harm, and the mere threat of future harm are not actual injury.” (<i>Id.</i>, at p. 743.) <i>Jordache</i>, however, was a summary judgment case based on an evidentiary record. The sufficiency of the allegations was not at issue. II. <u>Fraudulent Concealment (3rd COA)</u> Plaintiffs allege that Tyler knew of the data breach but fraudulently concealed material facts about it from Albert and Westmoreland. “[T]he elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (<i>Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC</i> (2008) 162 Cal.App.4th
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	858, 868.) In terms of establishing the duty element above, “There are ‘four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.’” (<i>Stanwood v. Mary Kay, Inc.</i> (N.D. Cal. 2012) 941 F. Supp. 2d 1212, 1221; <i>LiMandri v. Judkins</i> (1997) 52 Cal.App.4th 326, 336.) However, “failure to disclose [material facts] is not actionable fraud unless there is <i>some relationship</i> between the parties which gives rise to a duty to disclose such facts.” (<i>Id.</i>, at p. 337 (emphasis original).) Here, the alleged relationship between Tyler and Plaintiffs is that Albert and Westmoreland were third-party beneficiaries of the contract between Tyler and the State Bar. (2AC ¶ 113.) Whether a plaintiff is a third-party beneficiary of a contract is ordinarily a question of fact, but here, the contract expressly states, “Nothing in this Agreement is intended to benefit, create any rights in, or otherwise vest any rights upon any third party.” (Timm Decl., Ex. N, at § 18.14 (“No Third Party Beneficiaries”).) Plaintiffs object to consideration of the contract, but when a complaint relies on a contract, a court may properly take judicial notice of the contract. (See <i>Marina Tenants Assn. v. Deauville Marina Development Co.</i> (1986) 181 Cal.App.3d 122, 130 (“[T]he Tenants relied on selected portions of the master lease. . . . It was therefore proper here for the trial court to judicially notice the master lease in its entirety.”).) The contract expressly states there are no third-party beneficiaries, and Plaintiffs identify no extrinsic evidence that might bear on the proper interpretation of the contract. Accordingly, Plaintiffs have not adequately pled a relationship giving rise to a duty to disclose. Moreover, even if Plaintiffs had adequately pled a duty to disclose, they have not pled intent. To be sure, they repeatedly plead that Tyler intentionally concealed facts. But they nowhere plead Tyler’s <i>intent to defraud</i> Albert or Westmoreland. Put another way, they fail to plead that Tyler acted with the intent to induce reliance by Albert or Westmoreland (or even that Tyler knew Albert and Westmoreland existed). III. <u>UCL (4th COA)</u> The UCL claim is brought by Albert alone. It appears to the Court that the UCL claim is entirely derivative of the fraudulent concealment claim. It therefore fails for the same reasons. IV. <u>Conclusion</u> Tyler’s demurrer to the second cause of action for negligence is overruled as to Westmoreland. The demurrer is otherwise sustained in its entirety. Again, leave to amend is addressed below. <u>STATE BAR DEFENDANTS’ MOTION TO STRIKE</u> The State Bar Defendants’ motion to strike, which consists of both a special motion to strike (or anti-SLAPP motion) and a traditional motion to strike, is granted in part and denied in part. I. <u>Special Motion to Strike</u> Section 425.16 of the Code of Civil Procedure provides for special motions to strike, or anti-SLAPP motions, which allow a party to challenge claims (or entire complaints) that arise from protected activity. The Court analyzes an anti-SLAPP motion in a two-step process: “At the first step, the moving defendant bears the burden of identifying all
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	allegations of protected activity, and the claims for relief supported by them. When relief is sought based on allegations of both protected and unprotected activity, the unprotected activity is disregarded at this stage. If the court determines that relief is sought based on allegations arising from activity protected by the statute, the second step is reached. There, the burden shifts to the plaintiff to demonstrate that each challenged claim based on protected activity is legally sufficient and factually substantiated. The court, without resolving evidentiary conflicts, must determine whether the plaintiff’s showing, if accepted by the trier of fact, would be sufficient to sustain a favorable judgment. If not, the claim is stricken. Allegations of protected activity supporting the stricken claim are eliminated from the complaint, unless they also support a distinct claim on which the plaintiff has shown a probability of prevailing.” (<i>Baral v. Schnitt</i> (2016) 1 Cal.5th 376, 396.) A. <u>Step One</u> Protected activity under section 425.16 includes: “(1) any written or oral statement or writing made before a legislative, executive, or judicial proceeding, or any other official proceeding authorized by law, (2) any written or oral statement or writing made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law, (3) any written or oral statement or writing made in a place open to the public or a public forum in connection with an issue of public interest, or (4) any other conduct in furtherance of the exercise of the constitutional right of petition or the constitutional right of free speech in connection with a public issue or an issue of public interest.” (CCP § 425.16(e).) At step one, the Court considers only whether the activity at issue is protected, not the merits. 1. <u>Claims Related to Attorney Discipline</u> As discussed above in connection with the State Bar Defendants’ demurrer, the 2AC alleges two bases for liability. First, all Plaintiffs bring claims for relief that ultimately arise from State Bar disciplinary proceedings against Albert, Westmoreland, and/or Pratt. Second, Albert and Westmoreland bring claims for relief arising from a 2021 data breach. The State Bar is an administrative arm of the California Supreme Court charged with the authority to investigate and recommend to the California Supreme Court discipline against California attorneys. (See Bus. & Prof. Code § 6068.5 (establishing State Bar Court); Rules of the State Bar, Rule 1.2 (“The State Bar acts as the administrative arm of the California Supreme Court in all matters related to attorney admission and discipline in California.”).) Accordingly, attorney disciplinary investigations and subsequent prosecutions are “official proceeding[s] authorized by law” under CCP § 425.16(e)(1) and (e)(2). Insofar as Plaintiffs’ claims arise from attorney discipline matters, the State Bar Defendants meet their step one burden. Plaintiffs argue their claims “arise from independent administrative, ministerial, and retaliatory misconduct—not protected petitioning activity.” (Anti-SLAPP Opp. at p. 11.) As an example, they argue that Albert alleges the State Bar Defendants illegally retaliated against her by initiating a new disciplinary investigation after she won a judgment against the State Bar in bankruptcy court. They contend: “The protected activity was Albert’s filing and prosecution of the bankruptcy proceeding—not the State Bar’s alleged retaliation afterward. Opening a new investigation when paying a judgment is not protected activity.” (<i>Ibid.</i>) To be sure, Albert’s filing and prosecution of a bankruptcy proceeding was a protected activity. But opening a disciplinary investigation was <i>also</i> a protected activity. Whether the disciplinary investigation was improper retaliation is a separate question. 2. <u>Claims Related to Data Breach</u>
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	Albert and Westmoreland also bring claims arising from the State Bar’s data breach. The State Bar Defendants appear to make no argument that these claims arise from protected activity. Instead, they argue that all claims arise from attorney discipline, which is incorrect. The Court does not see how claims arising from a data breach would be protected by the anti-SLAPP statute. The State Bar Defendants fail to meet their step one burden on the data breach claims. B. <u>Step Two</u> Plaintiffs’ claims arising from attorney discipline proceed to step two of the analysis. At step two, “the plaintiff need only have stated and substantiated a legally sufficient claim. Put another way, the plaintiff must demonstrate that the complaint is both legally sufficient and supported by a sufficient prima facie showing of facts to sustain a favorable judgment if the evidence submitted by the plaintiff is credited.” (<i>Navellier v. Sletten</i> (2002) 29 Cal.4th 82, 88-89 (internal quotations and citations omitted).) Plaintiffs fail to meet their step two burden. As <i>Navellier</i> states, they must show their complaint is <i>both</i> legally sufficient <i>and</i> supported by a prima facie evidentiary showing. As set forth above, the Court has sustained the State Bar Defendants’ demurrer on all counts. Accordingly, Plaintiffs fail to show that the 2AC is legally sufficient. C. <u>Conclusion on Special Motion to Strike</u> The special motion to strike is granted as to Plaintiffs’ claims arising from attorney discipline. The motion is denied as to Albert’s and Westmoreland’s claims arising from the data breach. II. <u>Traditional Motion to Strike</u> The State Bar Defendants also move to strike some allegations on the grounds that they were “not drawn or filed in conformity with . . . an order of the court.” (CCP § 436(b).) Specifically, they contend some allegations in the 2AC are outside the scope of amendment permitted by the federal court when it granted the motion to dismiss the FAC. “A notice of motion to strike a portion of a pleading must quote in full the portions sought to be stricken except where the motion is to strike an entire paragraph, cause of action, count, or defense.” (CRC 3.1322(a).) The notice of motion does not identify the specific language to be struck from the 2AC. The traditional motion to strike is therefore denied on procedural grounds. <u>LEAVE TO AMEND</u> Ordinarily, leave to amend is freely granted, but this policy is inapplicable when an anti-SLAPP motion has been granted. (See <i>Simmons v. Allstate Ins. Co.</i> (2001) 92 Cal.App.4th 1068, 1074 (“[G]ranting leave to amend the complaint after the court finds the defendant had established its prima facie case would be jamming a procedural square peg into a statutory round hole.”).) Accordingly, leave to amend is denied as to all claims arising from attorney discipline. As to the data breach claims, while leave to amend may be freely given, it appears to the Court there is no way Albert and Westmoreland can amend their claims to plead the data breach occurred <i>before</i> formal disciplinary charges were filed, such that the data breach might violate Bus. & Prof. Code § 6086.1(b). Nor does it appear possible for Albert to amend her claim to avoid the limitations period imposed by Gov. Code § 945.6(a)(2). Accordingly, leave to amend is denied as to the State Bar Defendants. As to Tyler, Plaintiffs have had multiple opportunities to plead viable claims, and they have repeatedly failed to do so. Because it does not appear that Plaintiffs can set forth a viable theory and factual basis that plausibly addresses the various deficiencies, further leave to amend would be
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		improper. The effect of these rulings is that the only surviving cause of action in this case is Westmoreland’s claim against Tyler for negligence arising from the data breach. <u>BETH PETRONIO’S APPLICATION FOR ADMISSION PRO HAC VICE</u> Attorney Beth Petronio’s application for admission pro hac vice is GRANTED. The application complies with the requirements of CRC 9.40.
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